II. Equalization of Prices between Countries

International trade may help to equalize prices in all the trading countries.

1. Prices of goods are equalized between the countries (However, in reality it has not happened).
2. The difference is only with regard to the cost of transportation.
3. Prices of factors of production are also equalized (However, in reality it has not happened).

III. Equitable Distribution of Scarce Materials

International trade may help the trading countries to have equitable distribution of scarce resources.

IV. General Advantages of International Trade

1. Availability of variety of goods for consumption.
2. Generation of more employment opportunities.
3. Industrialization of backward nations.
4. Improvement in relationship among countries (However, in reality it has not happened).
5. Division of labour and specialisation.

6.Expansion in transport facilities.

7.7 Terms of Trade

The gains from international trade depend upon the terms of trade which refers to the ratio of export prices to import prices.

$$\text{Terms Of Trade (TOT)} = \frac{\text{Index Of Export Prices}}{\text{Index Of Import Prices}} \times 100$$



7.7.1 Meaning

It is the rate at which the goods of one country are exchanged for goods of another country. It is expressed as the relation between export prices and import prices. Terms of trade improves when average price of exports is higher than average price of imports.

7.7.2 Types of Terms of Trade

The different concepts of terms of trade were classified by Gerald M.Meier into the following three categories:

Terms of Trade related to the Ratio of Exchange between Commodities

- Terms of Trade
  - Net Barter Terms of Trade - Taussig
  - Gross Barter Terms of Trade - Taussig
  - Income Terms of Trade - G.S.Dorrance

1. Net Barter Terms of Trade

This type was developed by Taussig in 1927.The ratio between the prices of exports and of imports is called the "net barter terms of trade'. It is named by Viner as the 'commodity terms of trade'.

It is expressed as:

$$T_n = (P_x / P_m) \times 100$$

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